

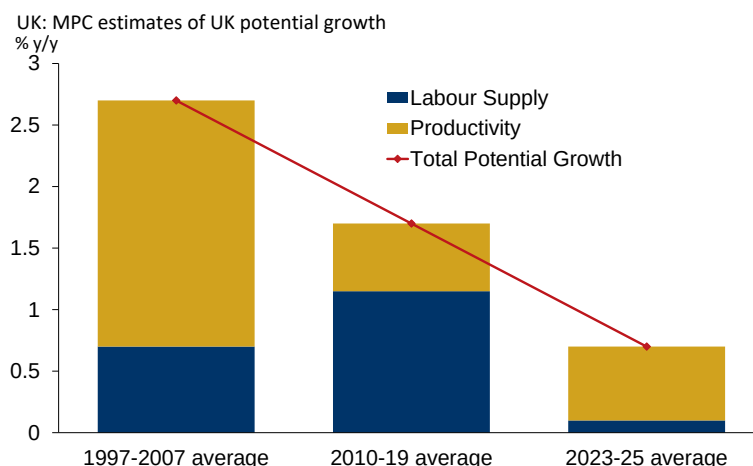
Research Briefing | UK

A Plan for Growth – proposals to improve the UK's supply-side

- The UK badly needs a strategy to improve potential economic growth and for the government to make it a central priority. Unless potential growth rises significantly, the UK will remain stuck in a rut of little or no rise in living standards, and, with weak growth in tax revenues, facing unpalatable fiscal options to maintain fiscal sustainability – such as a rising tax burden and low public spending growth.
- Specific policies we propose to reverse the deterioration in potential growth include increased public investment, lower childcare costs to lift workforce participation, increased emphasis on STEM subjects in education, reforms to land planning and housing taxes, and better relations and closer trade links with the EU.
- Closer trade with the EU also offers a key advantage in lifting potential output while improving the structural fiscal position and hence increasing the scope for other supply-side measures.
- We also advocate an institutional change, with the creation of an independent supply-side council within government to provide expertise, consistency, and published advice, and to establish a credible path to higher potential growth.
- After the late-2022 spike in gilt yields, it would be risky for the UK to fund supply-side reforms entirely through increased borrowing. So funding most if not all of any initial costs should come from spending restraint elsewhere and higher revenues, such as by broadening the tax base, and removing exemptions and loopholes.

We [recently highlighted](#) the deterioration in UK potential growth, which in recent years has fallen well below even the modest pace of the last decade. The Bank of England's latest Monetary Policy Report judged that UK potential GDP growth in the coming years is likely to average below 1% per year, versus 1.7% in 2010-2019. Potential GDP growth per head will be even lower, given the rising population. Press reports suggest that the OBR will reduce its potential growth estimates in the upcoming Budget (March 15), hence reducing forecast tax revenues and constraining the chancellor's fiscal options, despite the prospect of lower spending on energy support and debt service costs. And Labour leader Keir Starmer has spoken of his aim for the UK to "secure the highest sustained growth in the G7". We think the time is now ripe for debate to move forward and to focus on possible solutions to the UK's low potential growth.

Chart 1: The BoE expects further slowing in the UK's potential growth to a dismal pace



Source: Oxford Economics/Bank of England

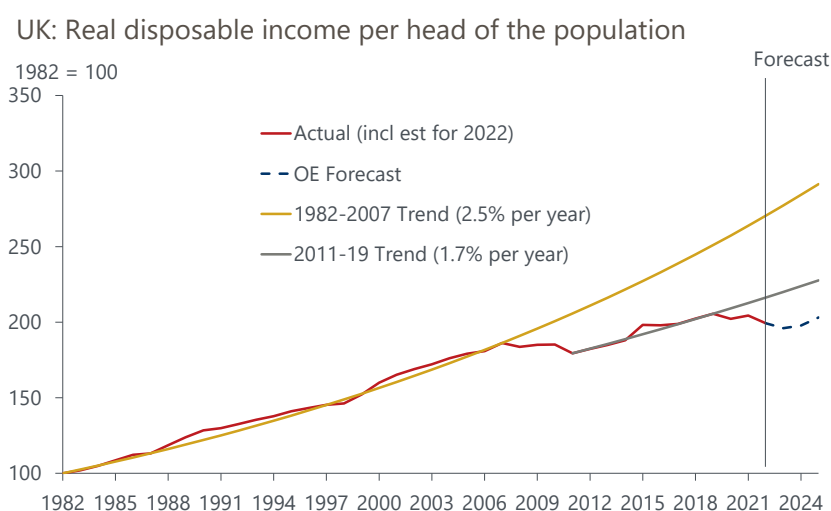
Why has potential growth slowed? Why does it matter?

As in many other advanced economies, trend UK productivity growth slowed markedly after the 2008-2009 recession and has remained modest since. Moreover, population ageing implies low workforce growth in the coming years, with a rising share of the population aged above 65-70, at which point workforce participation is low. In addition, Brexit and the pandemic have piled on the damage to potential output through adverse effects on productivity and labour supply. The OECD expects that UK potential growth over 2020-2024 is likely to be among the lowest of any advanced economy.

Given that the Bank of England's Monetary Policy Committee sets monetary policy to keep GDP roughly in line with potential output, low potential output growth implies low growth in living standards, even after adverse effects from rising energy prices fade. For example, real disposable income per head in 2022 was roughly 3% below the 2019 level. Based on our forecasts, real disposable income per head in 2025 will still be below the 2019 level, and about 10% below the 2011-2019 trend – a trend that was regarded as very weak at the time. The UK is in a low-growth rut, with no real signs of improvement.

Chart 2: Real incomes in 2025 expected to remain below 2019 level

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Source: Oxford Economics/Haver Analytics

It may not be possible to significantly change some of the factors behind the slowdown in potential growth. For example, short of a very dramatic rise in inward migration, population ageing is likely to limit labour supply. However, a number of useful measures could be taken, especially by considering issues on which the UK underperforms other advanced economies. The [OECD](#) and [IMF](#) have written extensively on possible measures to improve the UK supply side. The ideas below draw on this research, though not exclusively.

1. Make the supply-side a priority and draw in external experts

Within government, there seems to be a lack of institutional focus on supply-side issues and inadequate means of tapping external expertise on the topic. The economy's supply side and the implications for public spending trends affect almost all government departments; and the policies of many departments affect the economy's supply side. But, within government, who carries overall responsibility for improving the supply side, evaluating policy options, and implementing them?

The Treasury's mission statement includes "working to achieve strong and sustainable economic growth", which sounds like it includes supply-side issues. But its top priority is to control public spending and make more efficient use of it, rather than to lift potential growth. In any case, it lacks an independent public voice that can shape the policy debate, as evident in its public silence over the adverse supply-side effects of Brexit – especially the government's decision to go for a relatively hard Brexit – and it's not designed to draw in external expertise.

Conversely, the OBR and MPC both publish estimates of the economy's potential output growth, analyse factors, including government policies, that affect it, and have ample expertise. However, while their published reports have noted the deterioration in potential output, their remit does not extend to proposing measures to reverse it. Their main tasks are, respectively, to assess fiscal sustainability and set monetary policy, and they take the economy's supply-side as given.

This lack of institutional focus also leads to a lack of consistency, with a series of government "growth plans" over recent years, for example "[Forging our Future](#)" (2018), "[Build Back Better](#)" (2021), "[The Growth Plan](#)" (2022). Each plan launched new initiatives, while those from prior ones were often scaled back or scrapped. Moreover, the full effects of supply side changes often take time to come through, and hence may not fit easily within a 4-5 year electoral cycle. It would be useful for part of government to consciously take a longer-term focus.

Our suggestion is to establish a body – let's call it a Supply-Side Council – largely staffed by external (i.e., non-government) experts, with a remit to analyse factors that are constraining potential output, and to make public and evidence-based recommendations for measures to improve it. A key advantage of having such an independent supply-side council is that it would make the link from policy measures to faster potential growth (and higher tax revenues) more credible, especially for financial markets.

A useful example of how such a body might work is the [National Infrastructure Commission](#), which consists of external experts to assess the UK's infrastructure needs, and makes recommendations on how to meet them. Another is the [US Council of Economic Advisors](#), which is tasked to "formulate and recommend national economic policy". Neither body actually makes policy decisions, which rest with the government. But their recommendations, and the credibility created by the calibre of their members, provide a clear benchmark against which government actions can be judged.

In terms of their powers, the NIC and US CEA model sit somewhere between the OBR and MPC. The OBR analyses the fiscal outlook, but does not propose which measures would best achieve fiscal sustainability. Nor does it make policy decisions. Conversely, the MPC analyses the economic outlook, judges what monetary policy action is appropriate and has authority to implement its choices. In our view, a UK Supply-Side Council should be able to make recommendations and publish its views (analogous to the NIC and US CEA), but unlike the MPC would leave actual decisions on what to implement with elected politicians.

The UK government already has recently revived its own [Council of Economic Advisors](#) (UK CEA), to provide a channel for expert advice to government. However, its remit ("a consultative forum for the government to be advised on UK and international economics and financial markets") is not really focussed on addressing the UK's low potential growth rate. Its members – who are all very good and highly credible economists – are mainly financial market experts rather than supply-side experts. It's not surprising that, in the aftermath of the financial market chaos last autumn induced by the previous prime minister's fiscal policies, the government emphasised financial market credibility in the UK CEA's remit and membership. In our view, this group could be usefully complemented by a council focussed on supply-side issues.

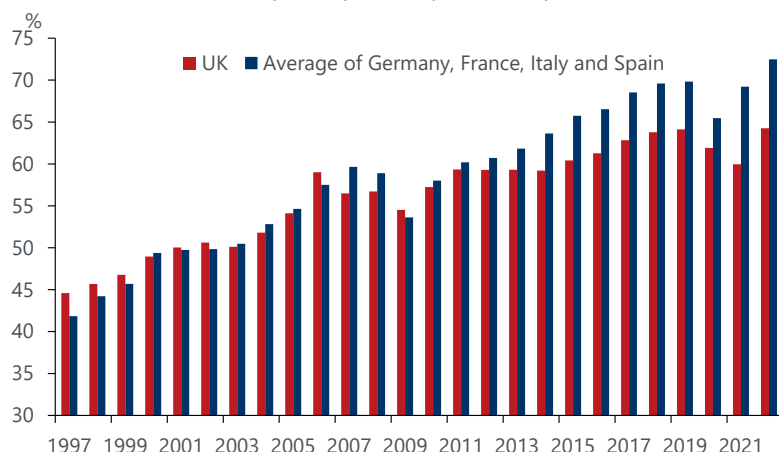
2. Better relations and closer trade links with the EU

With increased barriers to trade, especially non-tariff barriers, the UK's trade openness has fallen well below the rising trend in major EU countries. This damages productivity through reduced economies of scale and growth opportunities for UK exporters, as well as through the replacement of imports with less-efficient domestic producers. In turn, business investment has stalled and unlike other G7 countries remains little changed from the level in H1 2016, slowing capital stock growth.

Moreover, the resultant erosion of tax revenues has forced the government to tighten fiscal policy – through higher taxes and cuts to public spending plans – to ensure fiscal sustainability. These fiscal measures may have indirectly exacerbated the deterioration in potential output. Meanwhile, the costs of Brexit may be being exacerbated by prolonged uncertainty over future UK-EU relations and over the UK's future regulatory framework outside the EU.

Chart 3: The UK's trade openness has fallen behind major EU economies

UK and EU 4: Trade (exports plus imports) as pct of GDP



Source: Oxford Economics/Haver Analytics

Estimates of Brexit's long-run adverse effects on potential output are not precise and vary slightly. Key benchmarks are the estimates of the [BoE](#) (3.25% of GDP) and the [OBR](#) (4% of GDP). The BoE recently judged that adverse effects on trade have been bigger than expected so far, although it attributes this to a faster impact rather than concluding the total long-run effect will exceed its previous estimate. It's worth stressing that the scale of these adverse effects on potential output, and government revenues, greatly exceed the UK's net contributions to the EU when it was a member. These totalled £9.4bn in 2019, 0.4% of annual GDP.

Even if a full return to EU membership seems distant at present, it would be useful for the government to make improved relations with the EU an early priority. A sense that the UK is seeking to reduce Brexit's adverse effects on potential growth would help generate confidence that the government is putting a higher priority on supply-side issues.

Over time, the UK could seek closer trade relations with the EU, for example through: [incremental extensions of the existing Trade and Cooperation Agreement](#); a deeper trade arrangement with the EU, like Switzerland; creating a customs union with the EU, like Turkey; or joining the single market but not a customs union, i.e. EEA membership, like Norway. In general, a greater increase in UK-EU trade openness would yield a bigger rise in UK potential output. Analysis by the [Treasury in 2018](#) suggests that a Norway-style arrangement (in the single market but not a customs union) would imply a long-run GDP loss of only 1.4% compared to EU membership (well below the OBR's estimate of the long-run cost of the current arrangements, which is 4% of GDP). [Other research](#) suggests that the effects on GDP of being in a customs union (but not the single market) would be similar. Previous OE research also concluded that closer trade relations with the EU would imply substantial gains in UK output compared to a free trade agreement like the one already agreed.

Significantly freer trade in services would probably require freer movement of people between the UK and EU. To be sure, closer trade links may require higher financial contributions from the UK to the EU. But, as seen during recent years, the net fiscal effects of closer trade links would probably be highly positive given the lift to tax revenues from higher potential output.

3. Reduce childcare costs

At present, the UK's [high childcare costs](#) probably have significant adverse effects on female participation and workplace progression, thereby limiting overall labour supply and productivity.

Currently, all parents in England with children aged three and four are entitled to 570 free childcare hours per year, usually taken as 15 hours a week for 38 weeks – some are entitled to 30 hours per week. However, there is no such provision for parents with children aged one-two. Cross-country comparisons of childcare costs are imprecise, but [OECD figures](#) suggest that – when people have to pay – UK childcare costs on

average are among the highest of any advanced economy. For example, for a two-earner couple, where one person is on the average wage and the other on 67% of the average wage, child care costs are 22% of net household income, which is more than twice the OECD average (9%) and is exceeded only by Switzerland. This partly reflects the UK's [relatively low staff-to-child ratio](#) for one-two year olds (although there is some evidence that this low ratio compensates for looser requirements on staff qualifications).

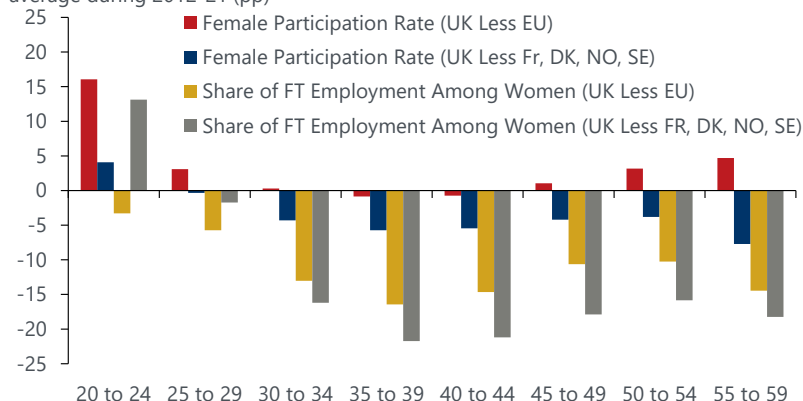
As a result, for some people with young children, the financial rewards from working (or working more hours) may not be worth it, once personal taxes and childcare costs are taken into account. For example, among women aged 35-45 years, the UK female participation rate is slightly below the EU average (averaged over 2012-2021 to smooth out cyclical effects), while among those who do work, the share of women working full-time is well below the EU average, with more working part-time. This is despite the UK's relatively high level of education attainment, which all else equal would usually be associated with higher workforce participation.

The disparity is even greater compared to France, Denmark, Norway, and Sweden, which all have relatively low childcare costs and on average over 2012-2021 have had significantly higher workforce participation than the UK among women aged 30-50 years, and a much higher share of full-time work among those who do work. With a greater share of part-time work in the UK, the average work week among women aged 35-49 years in paid work in the UK is about 5% below the EU average and about 6% below the average for France, Denmark, Sweden, and Norway.

Chart 4: Among women aged 35-45 years, the UK has relatively low female participation rates, and a low share of full-time work, with more working part-time

UK-EU Gap between female participation rates and full-time share of employment

average during 2012-21 (pp)



Source: Oxford Economics/OECD

The OECD notes that "expanding access to full-time high-quality childcare would allow mothers to increase working hours and reduce the duration of the career break, as well as support social mobility for children from disadvantaged backgrounds." For example, if the UK's participation rate and full-time employment share among women aged 30-50 years matched the EU average, then aggregate UK labour supply (total hours available for work) would rise by slightly more than 1%. If they matched the average levels in France, Denmark, Sweden and Norway, aggregate UK labour supply would rise by slightly over 3%, adding significantly to potential output.

Possible measures could include a combination of increased government support for childcare costs (for example, a rise in the current limits for free childcare for those with children aged three-four, or an extension of the current scheme to those with children aged one-two), perhaps with priority for low-income households, and a rise in the child-to-staff ratios.

4. Increase education spending, emphasising STEM subjects

There is a close link between people's education attainment and labour market status. For example, people aged 25-64 years with tertiary (university) level education working in the UK on average earn 30% more

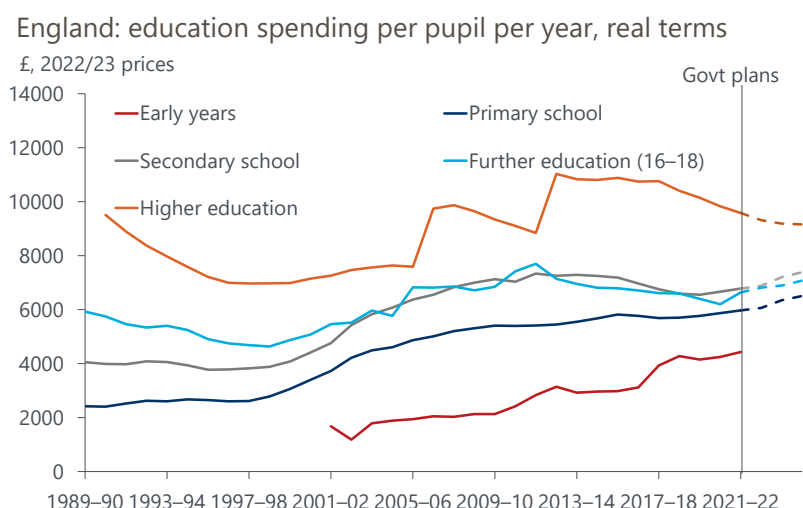
than those with secondary (up to age 18) level education. They also have a substantially higher employment rate. The returns from education are similar in other advanced economies, and probably largely reflect differences in productivity levels, whereby higher education attainment provides valuable skills and opens a wider range of job opportunities.

In the period from 1980 to around 2010, the UK ranked relatively highly by international standards in expanding tertiary education. The 2000s also saw rapid growth in real spending per pupil or student, with public spending on education rising from 4.0% of GDP in 1999–2000 to 5.7% of GDP in 2009–2010.

However, UK public spending on education [has fallen slightly in real terms](#) since 2010/11, dropping to 4.3% of GDP in 2021/22 (4.6% allowing for the subsidy element in university tuition fees). Within this, spending on early years and primary education has risen, but there have been relatively large declines in spending per student in secondary schools (down 8% since 2011/12 in England), further education (down 14%) and higher education (down 13% since 2012/13). The drop in spending on higher education has been largely offset by a shift in universities' revenues to fees, funded by student loans. But there has been no such offset for spending on school-age pupils.

The government's current public spending plans will increase spending on schools. Even so, as the IFS recently noted "this will take spending per student in 2024/25 back to 2010 levels... However, no net change in spending per student over 14 years still represents a historically large squeeze on resources." Money isn't everything, but this long squeeze on schools spending is bound to have affected education outcomes.

Chart 5: Education spending per head in England has fallen, apart from early years education



Source: Oxford Economics/Institute for Fiscal Studies

Moreover, although the UK has a relatively high share of people undertaking tertiary-level education, it's questionable whether enough are studying subjects that will yield productivity benefits for the economy as a whole.

For example, the subjects that have the highest graduate pay premium (and hence probably high productivity levels) are business, administration, and law (BAL), and science, technology, engineering, and maths (STEM). On average, graduates who studied these subjects earn, respectively, 41% and 66% more than average pay for people whose highest education is secondary level. The pay premiums are similar in other countries.

Tertiary education in the UK used to be strongly tilted towards BAL and STEM subjects. Among those with tertiary level education aged 55–64 years living in the UK (who generally studied several decades ago), 59% studied STEM or BAL subjects, the highest of any OECD country for that age group. But among graduates aged 25–34 in the UK (i.e., recent graduates), only 40% studied STEM or BAL subjects, the second lowest among OECD countries.

A Plan for Growth

Within the STEM subjects, the UK ranks especially low in natural sciences, maths, and ICT. Among graduates aged 25-34 years, only 6% in the UK studied these subjects, equal with Chile as the lowest among OECD countries. By comparison, among graduates aged 25-34 years in the US, 15% studied these subjects. The Prime Minister, Rishi Sunak, has spoken of his aim to make the UK a "science superpower", but the UK education system is not aligned with that aim. Between the US and the UK, there is little doubt which country really is the science leader.

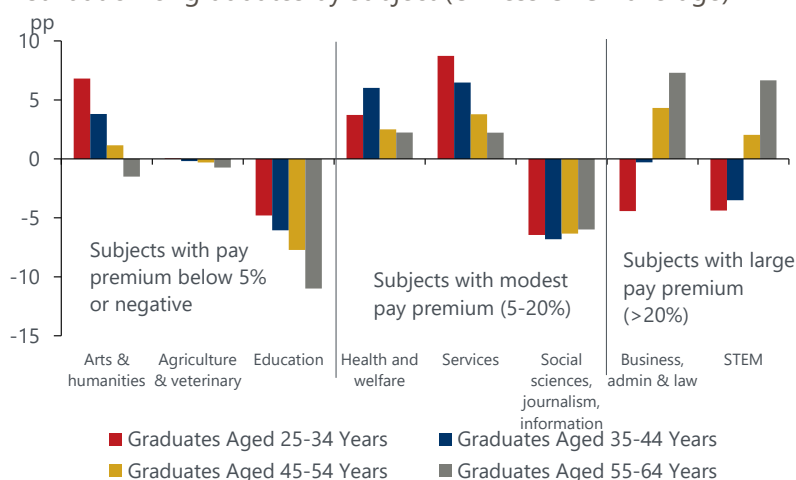
Conversely, 30% of graduates in the UK aged 25-34 studied arts, humanities and services (e.g., personal services, hygiene, and occupational health services) – twice the OECD average and the highest of any OECD country. Graduates in these fields of study typically earn about the same as those who lack tertiary education (i.e., there is no graduate pay premium). By comparison, among graduates aged 55-64 in the UK, only 13% studied these subjects.

This shift among recent graduates away from STEM and BAL subjects in favour of those with a lower graduate pay premium is evident among both men and women.

Chart 6 shows the share of UK graduates that studied each broad subject group, split by age, less the OECD average for the same age group. A figure above zero shows that a relatively high share of UK graduates of that age group studied that subject, while a figure below zero implies a relatively low share studied that subject. The subject groups are ranked in terms of the average pay premium (i.e., pay levels for graduates who studied that subject relative to pay for people with secondary education): the lowest paying subjects (arts and humanities) are on the left and the highest (STEM) on the right. This shows that, in terms of recent graduates (i.e., those aged 25-34 or 35-44 years), the UK is relatively underweight in subjects with a high pay premium, and hence probably generate higher productivity.

Chart 6: The share of recent UK graduates studying subjects with high pay levels is relatively low

Distribution of graduates by subject (UK less OECD average)



Source: Oxford Economics / Haver Analytics

The lack of emphasis on BAL and, especially, STEM subjects is similar among people in adult education. Just 12% of participants in adult education in the UK study STEM subjects, among the lowest of any advanced economy – the average across advanced economies is 18%.

Our proposals have two components. First, the government should significantly lift real-terms spending on secondary schools. Second, among those who go to university or are in adult education, the government should aim to lift the share that study STEM and BAL subjects.

In this context, the prime minister's proposal that all students in England [must study some form of maths up to 18 years](#), whereas currently only about half do, makes sense. At present, Australia, Canada, France, Germany, Finland, Japan, Norway, and the US all ensure pupils take some form of maths until age 18 years. However, the prime minister's proposal did not include plans to address the [persistent shortage of maths teachers in recent years](#), let alone provide for the rise in teacher numbers that would be needed to facilitate this intended expansion of maths education. Higher school funding, appropriately targeted, might help tackle this, and increase the numbers taking STEM subjects at tertiary level.

Last year's [reforms to university tuition fees](#) also may, over time, encourage people to opt for subjects such as STEM and BAL that typically generate higher pay. Those changes will reduce the repayment burden for students that go into higher-paid work, but lift repayments for students that get lower-paid jobs. In our view, however, it's unclear to what extent such distant financial calculations will affect the subject choices of 17-18 year-olds intending to go to university.

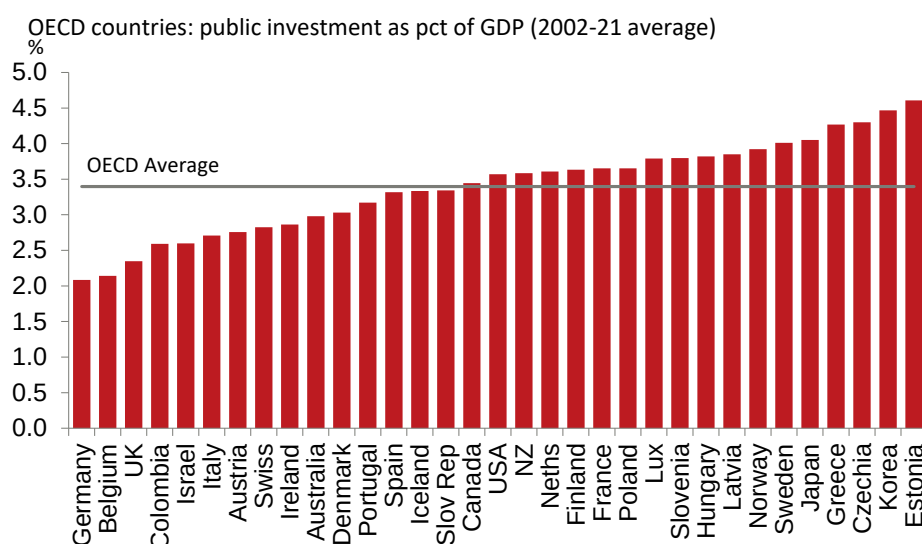
We suggest the government should consider stronger direct incentives for tertiary-level students to take STEM subjects (and work in the UK after graduation). For example, the government could subsidise universities directly for teaching STEM subjects. This could allow lower tuition fees for people studying STEM subjects at university, or a gradual write-off of part of their student debt after graduation, provided they work in the UK. Approximately 300,000 UK students study STEM courses each year, and so a subsidy of (say) £3,000 per student per year would cost roughly £1bn per year. An equivalent subsidy could apply to adult education in STEM subjects. And given the critical role that 'green' technologies will play, a greater subsidy could be attached to these. The initial cost would rise if more people study STEM subjects, but allowing for the lifetime pay premium of people who study STEM subjects, the net cost over time would be less and could even vanish because people who earn more typically pay more in tax.

In addition, given that 33% of those studying STEM subjects at UK universities are foreign students – versus 22% of those studying non-STEM subjects – it might also be useful to encourage them to stay and work in the UK after graduation. For example, the UK graduate visa scheme could be modified to allow a longer period (e.g. three-five years) for those who studied STEM subjects and work in a relevant field in the UK. At present there is a two-year limit for post-study work visas (three years for PhDs), which applies equally to all subjects. Again, this could be tilted towards green technologies. A similar scheme operates in the US, with a longer post-study visa for foreign students who studied STEM subjects in the US and have a job in a relevant field.

5. Lift public investment to 3% of GDP, reset the fiscal rules

The UK has long had relatively low levels of public investment compared to other advanced economies, and cuts to public investment have often been a disproportionately large part of fiscal retrenchment programmes under a range of governments. Over the period 2002-2021, public investment averaged 2.3% of GDP for the UK, well below the OECD average of 3.4% of GDP and the third-lowest of any OECD country.

Chart 7: UK public investment has long been relatively low as a share of GDP



Source: Oxford Economics/OECD

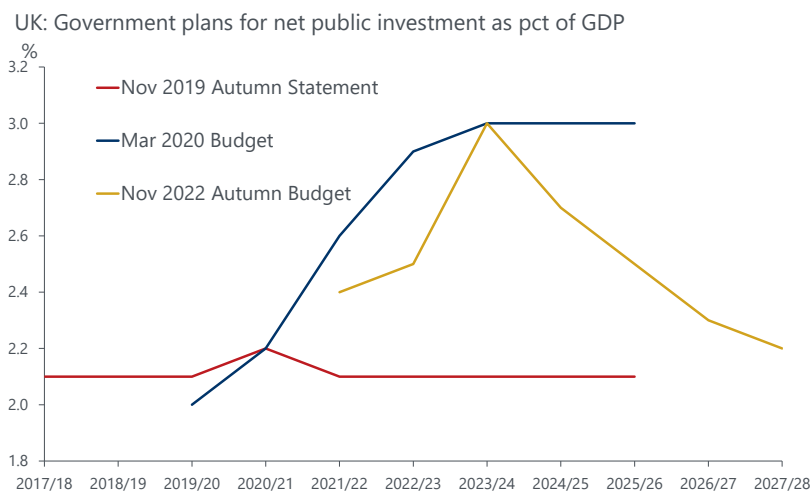
There is abundant evidence (see [here](#), [here](#) and [here](#)) that the long-term economic returns from public investment in general are relatively high – above those for increases in government consumption and transfers, or tax cuts. Higher public investment provides a direct support to growth, but also yields longer-term benefits through a higher capital stock and by supporting private investment (e.g., improved transport

links can encourage higher business investment). The positive effects on potential output are especially high for spending on health and R&D. For example, increased health investment can improve workers' health and well-being and, in turn, lift productivity and workforce participation. Participation is a major concern for the UK, with a sharp rise in the numbers out of the workforce due to long-term sickness. Moreover, public spending on R&D, particularly basic research, can drive fundamental advances in knowledge, and enhance the ability of firms to learn from new innovations at the global frontier. Based on [previous OE research](#), the [2021 Autumn Budget judged](#) that "every pound the government spends on R&D stimulates, on average, around £2 of private investment." Public investment is also bound to be an integral part of a net-zero carbon strategy.

Of course, diminishing returns may set in if public investment is very high, but the OECD judges that the UK is some way below that level, like most advanced economies.

In recent years, the government had seemed to shift to prioritise public investment. In the early 2020 Budget, then-Chancellor Rishi Sunak announced plans that net public investment would rise to 3.0% of GDP in 2023/24 from 2.0% of GDP in 1999/20. These plans, if fulfilled, would have lifted public investment to the highest as a share of GDP since the 1970s. In addition, the chancellor modified the government's fiscal rules, reverting to the aim of shrinking or eliminating the current budget deficit (i.e., the fiscal deficit excluding public investment) rather than aiming to shrink or eliminate the overall fiscal deficit, as it had since 2016. This aimed to protect the planned rise in public investment against future cutbacks, because unlike a target to cut the overall fiscal deficit, a target for a lower current budget deficit cannot be met by cutting public investment. The chancellor also announced a target to ensure "that public sector net investment does not exceed 3% of GDP on average over the rolling forecast period" – a target that would still have allowed large advances in public investment above historic levels.

Chart 8: The government has abandoned previous plans for a sustained rise in public investment



Source: Oxford Economics/Haver Analytics

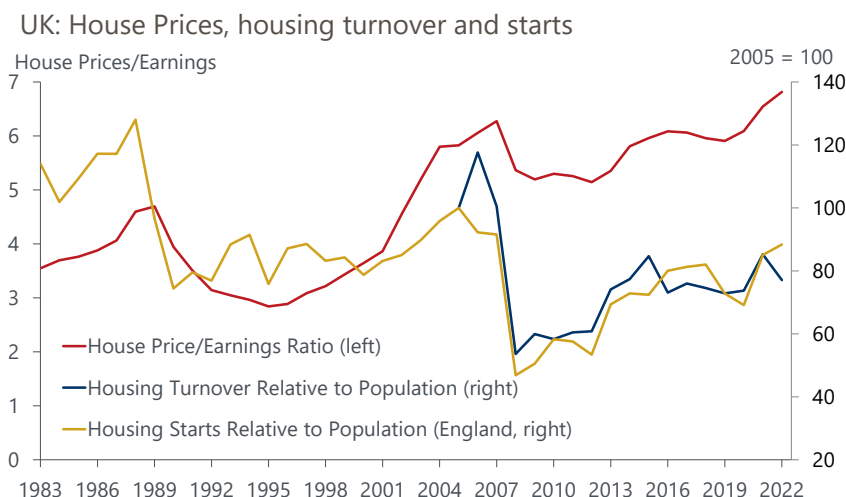
However, the late 2022 Autumn Statement – with Sunak as prime minister and Jeremy Hunt as chancellor – took an axe to those plans. The chancellor announced new fiscal rules, which shift the target back to securing a drop in the overall fiscal deficit (rather than a lower current budget deficit), thereby removing the protection for capital spending inherent in the prior rules. Moreover, he announced large cuts to public investment, which will fall by about 20% in real terms from the upcoming FY2023/24 to FY2027/28. With these plans, net public investment will fall from about 3% of GDP in FY2023/24 to 2.2% of GDP in FY2027/28, close to its long-run average, and returning the UK to a path of low public investment.

Our proposal would be to reverse the changes in the late-2022 Budget: aim for public investment of about 3% of GDP and reset the fiscal rule to focus on reducing or eliminating the current budget deficit rather than the overall fiscal deficit. Moreover, within the total, prioritise health, R&D, and net-zero measures.

6. Housing, planning and property taxes

Constraints on housing supply mean that the UK has long had relatively low levels of housebuilding and that the volume of [housing supply is relatively insensitive to prices](#). These factors have helped fuel periodic house price surges, while the ratio of house prices to incomes has reached an all-time high.

Chart 9: House prices are very high, while housing starts and turnover are around average



Source : Oxford Economics/Haver Analytics

As [the OECD](#) and [the IMF](#) have argued, high house prices – and the large disparities in house prices between the UK's regions – limit labour mobility and inhibit the allocation of resources to their most efficient use, thereby reducing productivity growth. The UK's high reliance on stamp duties (a transaction tax on housing) also adds to the costs of moving home, especially to a region with high house prices. For example, homeowners living in regions with low house prices may not be able to afford to move to work in a region with high house prices even if it offers higher pay – a sign that the job probably also has higher average productivity – because they lack the funds to cover the deposit and also face sizeable upfront stamp duty costs.

[OECD research](#) suggests that internal migration flows (i.e., people moving home from one region to another) are a balance between relative incomes, relative unemployment rates, and relative house prices. These factors work in opposite directions. In most countries, including the UK, people tend to move from low-income regions to higher-income regions, which is likely to lift aggregate productivity, and from regions with high unemployment to those with low unemployment, which reduces labour market mismatch. But people also tend to move away from regions with high house prices to those with lower house prices, which is less likely to lift productivity or reduce labour market mismatch.

In the UK, the role of house price differentials in causing internal migration flows is relatively large compared to other countries, the role of relative incomes is similar to the median of other countries, while the role of unemployment differentials is insignificant. In other words, people in the UK are more likely to move away from a region with expensive housing, even if it offers higher incomes and has relatively low unemployment. People are less likely to move from regions with high unemployment to those with low unemployment. These distortions reduce the extent to which internal mobility can generate higher aggregate productivity. Low housing supply and mobility also may contribute to the UK's relatively long commute times, which exceed those in most EU countries, and may adversely affect people's health and hence workforce participation.

The OECD and IMF have regularly called for the UK to ease land use regulations to improve housing supply, including by easing planning restrictions, mobilising unused publicly-owned lands for construction, and providing incentives for local authorities to facilitate residential development. Moreover, both [the OECD](#) and [IMF](#) have proposed the UK should shift from the current stamp duty system to a tax based on property values (or a land value tax) that is not dependent on whether people move home. The government had sought to [reform the planning regulations](#) during 2020-22, but this process stalled last year and another

round of consultation is underway at present. Even if one quibbles over the details, the direction of travel proposed by the IMF and OECD is sensible in our view.

7. Longer term, a higher retirement age

With the rise in life expectancy over recent decades, the UK has lifted the state pension age (SPA), initially for women from 60 years to 65 years, and then for both men and women to 66 years. It's also introduced greater scope to defer claiming the state pension beyond the SPA in return for higher payments. The [SPA for men and women is already due to rise to 67 years between 2026 and 2028](#), with a further rise to 68 between 2044 and 2046. In 2017, the Cridland review (an independent review commissioned by the Government) recommended that the rise in the SPA to 68 should be brought forward to 2037-2039. A [further review of this proposal is underway now](#) and is due to report by May this year.

It seems quite likely, in our view, that the government will bring forward the rise in the SPA to 68 years to the next decade. This would have a modest effect in lifting labour supply and hence potential growth. [Previous experience](#) suggests that a one-year rise in the SPA lifts the workforce participation rate of those directly affected by nearly 10ppts – i.e., if the SPA rises from 65 to 66, then the participation rate of people aged 65 years rises by nearly 10ppts, adding roughly 0.2% to the workforce. However, given the need for people to plan retirement in advance, it probably won't be possible to bring forward into this decade the rise in the SPA to 68 years. So, it's unlikely that further changes in the SPA will significantly affect prospects for potential growth in the next few years beyond the modest effect already in the pipeline from the rise to 67 years during 2026-28.

Our proposals on public investment, especially on health and childcare, might help increase workforce participation across other age groups. The [Resolution Foundation](#) has also identified specific changes to benefits that could help support workforce participation.

Are lower taxes and deregulation the answer?

During her brief, failed premiership last autumn, Liz Truss argued that the cure to the UK's low potential growth rate is to cut taxes, especially at the top end of the income scale, and to deregulate.

We are sceptical. Compared to other advanced economies, the UK already has a relatively low aggregate tax burden, high inequality, and low overall regulation of labour and product markets. Even so, potential growth per head is relatively low. Given this, in our view it's hard to argue that the UK's supply-side problem chiefly reflects excess regulation and taxes.

A lower tax burden would need to be matched by a public spending squeeze, assuming the government remains committed to fiscal sustainability. Given the difficulty in cutting spending on health and benefits, the axe would probably fall again on public investment and education – probably worsening potential output further. Moreover, aggressive deregulation would probably make it harder for the UK to improve trade access to other advanced economies, because they would seek to defend their own regulatory standards and shield themselves against a regulatory race to the bottom.

Constraints and sequencing: how to pay for it

The proposals above are not an exhaustive list of options. And, naturally, any plan for growth must be consistent with net-zero ambitions to be sustainable.

Some of our proposals would initially worsen the UK's fiscal position, largely through increased public spending. These would, over time, be outweighed by fiscal gains if potential growth rose, via higher tax revenues. However, the gains could be relatively distant, because many supply-side measures take time to generate their full impact. But the UK is still, to an extent, on probation in financial markets after the crisis triggered by the Liz Truss measures last autumn. So we doubt that markets would happily finance a substantial fiscal loosening aimed at supply-side measures without substantial evidence that the supply-side measures would be self-financing through higher potential growth within the OBR's usual five-year forecast horizon.

As a result, it would make sense to introduce supply-side reforms gradually, but with a clear sense of the destination supported by substantial evidence of the effectiveness of the planned measures. A well-staffed

supply-side council would be especially useful in this respect, because it would increase the credibility of any forecast that such measures would lift potential growth, and reinforce the prospect of a continued emphasis on the supply-side.

It would also be safer to ensure that the fiscal position is sustainable, even if the horizon at which most supply-side measures generate a fiscal dividend is relatively distant (i.e., beyond five years). For example, the government could trim other parts of public spending. The [OECD recommended last year](#) that the 'triple lock', whereby state pensions are raised by the greatest of CPI inflation, average earnings growth, or 2.5%, could be replaced by indexation in line with the average of CPI inflation and pay growth. We estimate that, based on the OBR's November-2022 forecasts for pay and prices, such a change in the triple lock would save £8bn-£9bn (0.3% of annual GDP) per year in 2027/28 (of course, this would depend on the actual paths of pay and prices). The net savings might be a bit less if, as the OECD advises, this change is supplemented by direct transfers to low-income households.

Moreover, the government could aim to lift tax revenues by reducing tax exemptions and loopholes. [The Treasury noted last year](#) that there are over a thousand tax reliefs and allowances, which can "create unfairness and inconsistency in how people are taxed." The [IMF proposes](#) that the UK raise revenues by broadening the VAT base, which is [relatively narrow compared to other advanced economies](#), with more targeted support for lower income households, such as through lower national insurance rates.

A government review of allowances and tax reliefs is due to be completed this year. Examples of potential reforms include: removing the exemptions for non-doms would [raise £3.2bn per year](#); extending VAT to private school fees would raise £1bn-£2bn per year; and limiting tax relief on pension contributions to the basic income tax rate [would raise about £15bn per year](#). The [IFS proposes](#) that the amount that can be taken tax-free as a lump sum from pensions (currently 25% of pension assets up to the lifetime allowance of £1.1m) should be greatly reduced, for example to 25% of assets up to a limit of £0.4m per person. This would raise £2bn-£3bn per year and might also increase workforce participation by reducing early retirement. Doubtless there are other options. At the very least, any fiscal giveaways in the upcoming Budget on March 15 would, in our view, be better spent on supply-side measures rather than simply freezing petrol taxes again.

Closer trade links with the EU would also help to improve potential growth relatively quickly, and hence improve the UK's structural fiscal position, even if they involved some rise in transfer payments to the EU. This would provide scope to finance other supply-side measures. Better trade relations with the EU and an intention to go further over time, would be a good start on this journey.

The need to shift gear

At present, the debate over the UK's low potential growth has barely got out of first gear. The government seems unwilling to admit the problem even exists, perhaps from fear they will be blamed for it. When they do propose supply-side measures, these tend to be relatively minor tinkering rather than anything substantial. The issue seems to have been largely cast as too difficult to deal with before the next general election, which is due by early 2025.

However, the costs from delay and inaction are high. Weak UK potential output growth has already been reflected in a long period of stagnant living standards and, on current trends, things are unlikely to improve in the next few years. In turn, continued weak tax revenue growth will limit public spending options, threatening to create a self-propelling dynamic whereby low growth in spending on public investment, health, skills, and education further erodes potential output. The longer it takes to tackle the issue, the greater the cumulative losses in terms of income and spending foregone across the UK.